

Q3FY23 Result Update | Retail

Equity Research Desk

Margin miss but Outlook Positive

February 3, 2023

Titan posted stable set of numbers with strong revenue growth but miss on EBITDA margins. Management maintains revenue guidance of 19-20% with EBIT margin of 12-13% in jewellery business. Management has guided for positive demand outlook for next quarter on account of strong January.

- Revenue at ₹1,16,090 Mn vs ₹1,00,940 Mn (+16% YoY) vs ₹92,240 Mn (+27% QoQ) || Revenue excluding bullion sales at ₹1,12,940 Mn vs ₹99,830 Mn (+13% YoY)
- EBITDA at ₹13,470 Mn vs ₹14,420 Mn (-6.6% YoY) vs ₹12,470 Mn (+8% QoQ)
- EBITDA Margin at 11.6% vs 14.4% (YoY) vs 13.6% (QoQ)
- Adj PAT at ₹9,040 Mn vs ₹10,040 Mn (-10% YoY) vs ₹8,310 Mn (+8.8% QoQ)
- EPS at ₹10.2 vs ₹11.3 (YoY) vs ₹9.3 (QoQ)

Segmental

- Jewellery: (89% of Income)**
 - Revenues grew by 15.3% YoY to Rs 1,04,460 mn,
 - EBIT margins 11.9% vs 14.2% YoY and 13.6% QoQ
 - Stores +40 in Q3FY23 || Total 685
- Watches (7% of Income)**
 - Revenues grew by 14.2 % YoY to Rs 8,110 mn
 - EBIT margins 10.1 % v/s 11.3 % YoY and 14.7% QoQ
 - Stores (fasttrack+WOT+Helios) +48 in Q2FY23 || Total 953
- EyeWear (2% of Income)**
 - Revenue grew by 11.5% YoY to Rs 1,740 mn,
 - EBIT margins 18.4% v/s 21.8% YoY and 16.8% QoQ
 - Store +36 in Q2FY23 || Total 863
- Others (2% of Income)**
 - Revenue grew by 60% YoY to Rs 2,140 mn,
 - EBIT margins 1.8 % v/s 1.3 % YoY and 2.1% QoQ

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	2,10,515	2,16,450	2,87,990	3,88,700	4,61,032
EBIDTA	24,666	17,250	33,410	48,765	59,154
Margins	11.7	8.0	11.6	12.5	12.8
Adjusted net profit	15,014	9,740	22,270	34,835	41,772
EPS (Rs)	16.9	10.9	25.0	39	47
P/E (x)	136.2	210.5	92.1	58.9	49.1
EV/EBITDA (x)	83.5	117.7	60.6	41.8	34.6
RoCE (%)	24.5	15.1	27.8	35.1	38.4
RoE (%)	22.5	13.0	24.4	31.1	30.5

Source: Company

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	3,050	32

Market data

Current price	Rs	2,308
Market Cap (Rs.Bn)	(Rs Bn)	2,049
Market Cap (US\$ Mn)	(US\$ Mn)	25,008
Face Value	Rs	1
52 Weeks High/Low	Rs	2,791 / 1,825
Average Daily Volume	('000)	1,586
BSE Code		500114
Bloomberg		TTAN.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	52.90	52.90
Public	47.10	47.10
Total	100	100

Source: BSE

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Conference Call Highlights

A. Jewellery Division (89% of revenue) :

- Medium term outlook : Positive based on Jan sales (Market opportunity : ~4 lakh crs of which ~60% could be attributable to wedding ; Market share now close to ~7% on TTM basis vs 6% a year back : based on company estimates ; Vision 2027 : 1000+ stores)
- **Demand scenario** : Despite increase in gold prices,demand environment continues to be strong
- Maintains Jewellery EBIT guidance of 12-13%
- SSG @ 9% incase of Tanishq
- New buyer growth @ 49% of overall revenue vs 48% last qtr (Positive)
- Revenue growth in the segment was led by healthy festive season demand along with rise in new buyers
- Margin dip in the segment attributable to higher investment in marketing to gain market share,inventory fusion & competitive offers/pricing
- Total international stores now stands @ 6 stores ; 1st Tanishq store opened in USA ; UAE : Opened 5 stores in Dubai & plans to open 6th store in Abu Dhabi (Aim to open 20 international stores in next 12-15 months)
- On Lab grown diamonds : Invested in Great Heights last year to gain better understanding of the segment (17.5% stake for \$20Mn in March 2022)
- Outsourcing : In-house mix = 70 : 30
- Aim to formulate 4 year plan for jewelry business in board meeting considering various factors such as growth,profit & RoCE
- Contribution from gold exchange +30% QoQ (mainly due to rise in gold prices)

B. Watches & Wearables Division (7% of revenue)

- Contribution of new products @ 20-22% of segment revenue
- Smart watches now 10% of segment sales (Double digit growth expected going forward on account of explosion in smart watch demand)
- Strategy for smart watch : Leverage existing brands of Fast-track & Titan

Quarterly Financials

Particulars (Rs Mns)	Q3FY23	Q3FY22	Growth (%)	Q2FY23	Growth (%)
Sale of products/services	1,11,670	99,030	12.8	85,670	30.3
Other operating revenues	4,420	1,340	229.9	5,960	(25.8)
Total Operating Revenues	1,16,090	1,00,370	15.7	91,630	26.7
Other income	890	570	56.1	610	45.9
Total Income	1,16,980	1,00,940	15.9	92,240	26.8
Cost of Materials Consumed	65,310	67,070	(2.6)	74,790	(12.7)
Purchase of stock-in-trade	15,030	13,830	8.7	16,340	(8.0)
Changes in stock	8,060	(5,890)	(236.8)	(24,830)	(132.5)
Total RM Cost	88,400	75,010	17.9	66,300	33.3
RM to Op Revenue	76.15%	74.73%		72.36%	
Employee benefits expense	4,110	3,240	26.9	3,920	4.8
Employee to Op Revenue	3.54%	3.23%		4.28%	
Advertising	2,730	2,080	31.3	2,240	21.9
Ad Spends to OP Revenue	2.35%	2.07%		2.44%	
Other expenses	7,380	5,620	31.3	6,700	10.1
O. Exps to Op Revenue	6.36%	5.60%		7.31%	
EBITDA (exc. OI)	13,470	14,420	(6.6)	12,470	8.0
EBITDA Margin	11.60%	14.37%		13.61%	
EBITDA	14,360	14,990	(4.2)	13,080	9.8
Depreciation	1,130	980	15.3	1,060	6.6
PBIT	13,230	14,010	(5.6)	12,020	10.1
Interest	790	570	38.6	600	31.7
PBT	12,440	13,440	(7.4)	11,420	8.9
Total Tax	3,320	3,320	-	3,070	8.1
Tax Rate	26.7%	24.7%		26.9%	
PAT	9,130	10,120	(9.8)	8,350	9.3
Exceptional item					
Share of profit from JV/ Associate	10	-		-	
Minority Interest	90	80	12.5	40	125.0
Adjusted PAT	9,040	10,040	(10.0)	8,310	8.8
NPM	7.73%	9.95%		9.01%	
Equity	890	890		890	
FV	1	1		1	
EPS	10.2	11.3	(10.0)	9.3	8.8
Segmental Revenues					
Watches	8,110	7,100	14.2	8,300	(2.3)
% to Operating Income	6.9%	7.0%		9.0%	
Jewellery	1,04,460	90,590	15.3	79,970	30.6
% to Operating Income	89.3%	89.7%		86.7%	
Eyeware	1,740	1,560	11.5	1,670	4.2
% to Operating Income	1.5%	1.5%		1.8%	
Others	2,140	1,340	59.7	1,960	9.2
% to Operating Income	1.8%	1.3%		2.1%	
Corporate (unallocated)	530	350	51.4	340	55.9
% to Operating Income	0.5%	0.3%		0.4%	
Total	1,16,980	1,00,940	15.9	92,240	26.8
PBIT					
Watches	820	800	2.5	1,220	(32.8)
% to segmental Income	10.11%	11.27%		14.70%	
Jewellery	12,430	12,880	(3.5)	10,880	14.2
% to segmental Income	11.90%	14.22%		13.61%	
Eyeware	320	340	(5.9)	280	14.3
% to segmental Income	18.39%	21.79%		16.77%	
Others	(160)	40		(20)	
% to segmental Income	-7.48%	2.99%		-1.02%	

Valuation & Outlook

Management maintains revenue guidance of 19-20% with EBIT margin of 12-13% in jewellery business. Also management has guided for a strong Q4 based on January sales.

Titan has gained market share in south, west & metro regions taking its overall market share to ~7% (Total market size of ~Rs.4 lakh crores) from 6% a year back which they want to take it to 10% by FY27, which in our view is extremely positive.

Entry-level segment is yet to pick up. In rising gold price scenario 1.) People may preempt purchase assuming prices of gold to rise further 2.) Higher inventory cost will squeeze unorganized player & Titan can gain market share from them.

Key triggers going forward will be the demand scenario in rising gold prices, inventory management & mix of studded jewellery (currently @ 26% of overall revenue)

Titan is amongst few players who has carved its brand in the mind of Indian consumer which is very hard to replicate. With increasing per capita income of Indian consumer Titan is all set to capture the large unorganized market & create a niche brand in multiple consumer segments.

Valuations @ Rs 2,403 : 51x FY24E EPS of Rs.47 and 62x FY23E EPS of Rs.39, we have revised our rating from BUY ON DIPS to **ACCUMULATE** on the stock for a **target price of Rs.3,050 valuing the company at 65x FY24E EPS of Rs.47.**

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	2,10,515	2,16,450	2,87,990	3,88,700	4,61,032	Net Profit	15,014	9,740	22,270	34,835	41,772
Operating Expenses	(1,51,551)	(1,64,140)	(2,16,410)	(2,91,525)	(3,45,774)	Add: Dep. & Amort.	3,480	3,750	3,990	4,424	4,814
Employee Cost	(11,994)	(10,650)	(13,490)	(17,492)	(20,285)	Cash profits	18,493	13,490	26,260	39,258	46,586
Other Expenses	(22,305)	(24,410)	(24,680)	(30,919)	(35,818)	(Inc)/Dec in					
Operating Profit	24,666	17,250	33,410	48,765	59,154	-Sundry debtors	1,089	(545)	(1,074)	(591)	(991)
Depreciation	(3,480)	(3,750)	(3,990)	(4,424)	(4,814)	-Inventories	(10,642)	(3,050)	(22,437)	(37,249)	(26,753)
PBIT	21,186	13,500	29,420	44,341	54,341	-Loans/advances	1,661	906	(119)	(131)	(170)
Other income	1,532	1,860	2,340	3,721	3,067	- Other Current Assets	(5,212)	382	(1,552)	(1,549)	(2,050)
						'-Current Liab and					
Interest	(1,662)	(2,030)	(2,180)	(1,276)	(1,421)	Provisions	3,884	(2,084)	5,733	(342)	3,075
PBT	21,057	13,330	29,580	46,786	55,987	Sundry Creditors	(3,093)	1,923	2,782	3,704	2,675
Profit before tax (post exceptional)	21,057	13,330	29,580	46,786	55,987	Change in working capital	(12,312)	(2,467)	(16,667)	(36,157)	(24,214)
						CF from Oper. activities	6,181	11,023	9,594	3,101	22,372
Provision for tax	(6,090)	(3,530)	(7,060)	(11,776)	(14,092)						
Reported PAT	14,967	9,800	22,520	35,010	41,895	CF from Inv. activities	(14,507)	(29,444)	6,037	(3,760)	19,477
MI	87	(10)	(250)	(175)	(123)						
Net Profit	15,054	9,790	22,270	34,835	41,772						
Adjusted Profit (excl Exceptionals)	15,014	9,740	22,270	34,835	41,772	CF from Fin. activities	1,472	20,210	892	(11,394)	(45,297)
						Cash generated/(utilised)	(6,854)	1,789	16,523	(12,053)	(3,448)
						Cash at start of the year	10,665	3,811	5,600	22,123	10,070
						Cash at end of the year	3,811	5,600	22,123	10,070	6,621
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	888	890	890	890	890	OPM	11.7	8.0	11.6	12.5	12.8
Reserves	65,800	74,080	90,243	1,11,144	1,36,207	NPM	7.08	4.46	7.67	8.88	9.00
Net worth	66,688	74,970	91,133	1,12,034	1,37,097	Tax rate	(28.9)	(26.5)	(23.9)	(25.2)	(25.2)
MI	44	50	300	475	598						
Non Current Liabilities	12,501	12,350	12,480	12,108	2,368	Growth Ratios (%)					
Current Liabilities	56,266	77,150	92,575	98,674	85,454	Net Sales	6.4	2.8	33.1	35.0	18.6
						Operating Profit	23.9	(30.1)	93.7	46.0	21.3
TOTAL LIABILITIES	1,35,498	1,64,520	1,96,488	2,23,291	2,25,516	PBIT	15.9	(36.3)	117.9	50.7	22.6
						PAT	6.9	(35.1)	128.7	56.4	19.9
Non Current Assets	34,295	32,550	33,221	33,063	27,369						
						Per Share (Rs.)					
Fixed Assets	25,287	24,320	24,193	23,530	17,363	Net Earnings (EPS)	17	11	25	39	47
Goodwill	1,230	1,230	1,230	1,230	1,230	Cash Earnings (CPS)	20.8	15.2	29.5	44.1	52.3
Non Current Investments	444	190	200	200	200	Dividend	4.0	3.8	6.3	15.7	18.8
Deferred Tax Asset	1,590	1,050	1,050	1,050							

Source: Dalal & Broacha Research, Company

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